CHAPTER 5

Small Is Beautiful

> 'At the end of the day, small business success should just be a way station on your way to large business success.'
>
> —Lloyd Blankfein, CEO, Goldman Sachs (June 2016)

How Indians fell in and out of love with stocks

It was between 1990 and 1995 that retail investors in India fell in love with stock market investing for the first time. This period started with the BSE Sensex quadrupling in less than twenty months—from 1000 points in July 1990 it crossed 4000 points[1] in March 1992, supported by the liberalization of economic policies triggered by the P.V. Narasimha Rao-led Congress government. Investors' love for the stock market was such that the number of retail investment folios that existed in 1995 was more than the number today. The effect of this investor interest was also reflected in IPOs—during 1992–96, around 4000 companies went public (implying around four IPOs per day).

> In 1989–90, stocks were trading at price to earnings multiples of 1x, 2x and 3x. Some stocks were even trading below earnings! By 1994 I thought I knew stock market investing because of the multi-baggers that I had made between 1989 and 1994. Then 1994–96 turned out to be very testing years. Once you have had a thirty bagger [i.e. a stock which goes up 30-fold], inevitably, if you are an equity investor, you'll get drunk and make a set of mistakes. These mistakes pushed our portfolio into very bad shape by 1996. We lost a lot of money because I had not realized that what had happened between 1989 and 1994 was a one-time event . . . basically we had reaped in those years the fruits of liberalization and were lucky to be in the right place at the right time.